PRACTICE MANAGEMENT GUIDANCE 2026

This guidance document collects recommended practice for advisor coaching conversations. It is guidance, not plan policy: nothing here changes how revenue is credited. Each section states the recommended practice and the situation it addresses.

1 Discount Discipline

Fee discounts compound silently. An advisor whose average reduction from the standard schedule exceeds the practice norm should review each discounted relationship annually. Discounts granted to win a household rarely get revisited once the household is settled, and a book that discounts broadly ranks near the top on discount rate while ranking mid-pack on revenue. Recommended practice: review every account priced below the standard schedule at the annual client review, and require a written rationale for any discount that continues into a new plan year. Where the practice average discount is known, compare the advisor's blended reduction to that average before agreeing new concessions.

2 Household Consolidation

Small households near a crediting threshold are the most common source of non-credited revenue. Consolidating related accounts into one household relationship moves balances over the threshold and turns non-credited trades into credited ones. Recommended practice: when a client family holds accounts across several household identifiers, initiate a householding review before year end; the accounts most worth reviewing are those within reach of the threshold, where a single consolidation changes the crediting outcome. Consolidation also simplifies fee schedules and reduces the count of below-minimum relationships an advisor must justify.

3 Book Diversification

A book concentrated in one product family is exposed to a single repricing event. Advisors whose revenue depends on one product group for more than half of credited revenue should identify the next two product conversations for each of their top households. Recommended practice: track the share of credited revenue by product group each month; where one group's share grows for three consecutive months, schedule a portfolio review with the largest households in that group before the concentration becomes structural. Diversified books retain more accounts through market stress.

4 Referral Follow-Up

Referral opportunities decay quickly: a referred prospect contacted within one week converts at a materially higher rate than one contacted after a month. Recommended practice: every open opportunity in the pipeline should carry a next-contact date, and pending opportunities older than thirty days should be reviewed at the weekly practice meeting. A lost opportunity should record the reason it was lost — pricing, timing, or competitor — because the pattern across lost opportunities is the practice's best signal of where its proposition is weakest. Won opportunities warrant a thank-you to the referring client within the same week.